



**INSURING LIVES
SUPPORTING WOMEN
SERVING COMMUNITIESSM**

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agentcontract@royalneighbors.org

Royal Neighbors of America

CONTRACT TO REPRESENT

☐ **WITH AUTHORITY TO RECRUIT**

This Contract, with attachments, is entered into between You (the agent/agency) and Royal Neighbors of America, a fraternal benefit society whose Home Office is located in Rock Island, Illinois.

Agent/Agency Name (as shown on the resident insurance license)

A. Designation & Appointment

1. Designation

The Agent/Agency named above is herein referred to as You, Your or Agent. Royal Neighbors of America is herein referred to as the Society or It. This contract and all addendums and amendments attached are referred to as “the” or “this” contract, and are entered into between You and the Society in consideration for the mutual agreements set forth herein.

2. Appointment

Prior to requesting appointment with the Society, You will provide the Society with evidence of your license in the State(s) in which you are requesting appointment. Upon execution of this contract You are an agent of the Society for the purpose of soliciting applications for the Society’s insurance and annuity certificates in states where you are licensed and appointed to sell Royal Neighbors of America Products. In addition, if the “Authority to Recruit” box is checked above, You are granted authority to recruit and develop Agents to market the products of the Society, in accordance with the guidelines below, in any state of the United States in which the Society is duly licensed to sell insurance and annuity certificates and has filed and received approval for any product which the Society permits you to offer for sale. This contract does not grant exclusive rights in any territory or for any product. This contract is limited to the products offered by Royal Neighbors of America, shown in the Commission Addendum, attached hereto and made a part hereof by reference.

B. General Provisions

1. General

During the continuation of this contract, You agree to:

- (a) Be responsible for the prompt delivery of certificates sent to You in accordance with the Society’s rules and instructions;
- (b) Follow all Society bylaws, rules and regulations;
- (c) Solicit only in the state(s) in which You are licensed and appointed with the Society; and
- (d) Comply with all State and Federal laws, orders, rules and regulations.

2. Relationship

Nothing contained herein is intended to create the relationship of employer and employee between You and the Society, and You shall at all times be an independent contractor. You shall be free to exercise your own judgment as to the time, place and means of performing all acts hereunder, subject to the rules, regulations and instructions concerning solicitation and delivery of insurance and annuity certificates set forth by the Society or any insurance department.

3. Prompt Remittance

You shall promptly submit any applications for insurance and annuity certificates and any premiums collected by You for the benefit of the Society. Applications and premiums collected should be mailed to the Home Office, whose address is shown on the signature page of this contract. All certificates issued by the Society, must be delivered to the certificate holder within ten (10) days of Your receipt. You shall obtain a signed delivery receipt for the certificate, and return it to the Society. If the health condition of the applicant has changed since the application date, You shall promptly return the certificate to the Society and no issuance or delivery will occur.

4. Limitations

You are not authorized to waive, alter, or change any provision or condition of the Society's insurance or annuity certificates, Contract to Represent, literature (including marketing materials), or receipts; modify or extend the amount of time of any premium payment due to the Society, or receive any to the Society except the initial premium. You shall not enter into any contract, incur any expense or obligation of any kind, nor shall you bind the Society to any manner. The Society reserves the right, based upon Its sole discretion and without liability to You, to approve or disapprove any application, limit the amount of coverage issued, or charge a higher premium based upon Its evaluation of the risks.

5. Indemnification

You agree to defend, at the Society's request and through counsel acceptable to the Society, indemnify and hold the Society harmless from any claims, demands, losses, expenses, costs and damages arising or resulting directly or indirectly from (1) any breach by You of any term or condition of this contract, or (2) which are proximately caused by or related to any negligent or willful acts, errors or omissions by You or Your Employees, or (3) any violation of any law or regulation or failure to comply with any court order.

You shall not institute any legal proceedings in the Society's name. Should any claims or lawsuits be made by any third party against You or the Society as a result of alleged wrongdoings by You, then You shall hold the Society harmless from, and indemnify It for any claim, loss, expense, cost, or liability which It may incur defending the action and for any settlement of, or judgment resulting from such action. The Society may, at Its sole discretion, defend or settle any such claim.

C. Compensation, Accounting & Indebtedness

1. Compensation

- (a) You shall be paid compensation according to the terms of this contract, the Commission Addendum and any Annualization Addendum that may be attached. The Commission and / or Annualization Addendums are subject to change by the Society upon notice in writing to You or to Your IMO. However, any change shall not affect any certificates issued on applications signed prior to the effective date of the change.
- (b) Commissions shall not be owed or paid on certificates continued in force under any waiver of premium provision of any certificate, or on collected premiums that are subsequently refunded by the Society. You shall promptly repay the Society any commissions paid prior to the refund.

2. Assignment and Assumption of Commission Payment and Debt Obligations (where applicable)

In certain circumstances, You may be notified that You have been added to the list of agents where the Society has transferred the obligation to pay commissions from Royal Neighbors of America to American Fraternal Financial Services. Upon such notification, You agree that any applications for insurance submitted by me to Society that are approved will have their commissions paid to You through AFFS and You will look solely to AFFS to receive Your commissions and assign all of Your rights to receive payments in accordance with the commission schedules attached to Your contract as may be amended. In addition, should You be entitled to receive advances on any certificates submitted by You, You agree that those advances will be provided by AFFS, and that any repayment obligations on Your part will be owed to AFFS. To the extent You are owed first year or renewal commission on any certificates activated prior to the date given in such notification, You assign Your rights to those payments as additional collateral to reimburse AFFS for any outstanding advances or other debt owed by AFFS by You.

3. Accounting

- (a) The Society shall provide to You a statement showing compensation and deductions made within the accounting period. Each statement is deemed to be correct and accurate unless You object in writing within thirty (30) days after it has been delivered or posted for review.
- (b) If commissions due to You total less than \$50 in any pay period, then the commission payable will be deferred until accrued commissions exceed \$50. If the amount due is less than \$5.00, no compensation will be paid to You.
- (c) All accounting records maintained by You, relating to business conducted with the Society, are subject to inspection at any reasonable time by our authorized representative.

4. Indebtedness

- (a) Any compensation due under this contract may be applied to payment of any indebtedness You may have to the Society. Indebtedness includes any monetary claim the Society may have against you, including but not limited to advances paid, overpayment of commissions, reversal of commissions, indebtedness of your sub-agents which the Society has been deemed uncollectible, and other miscellaneous charges that you have authorized.
- (b) As additional security for the payment of indebtedness under this contract, the Society shall have a first and prior lien against the compensation due You under this contract. The Society may, at any time, offset any

such indebtedness against compensation due You under the contract or any contract You have with the Society. If the Society does elect to offset, the offset shall not constitute an election by the Society to forego any other available remedies to collect the indebtedness.

- (c) You shall reimburse the Society and / or indemnify the Society, for any loss, including attorney's fees, that the Society may incur in recovering from You any indebtedness due the Society. Prior to rolling the debt up to You, the Society may, in its sole discretion, utilize the services of a collection agency in an effort to collect the debt owed by one of Your sub-agents. All cost incurred by the Society as well as any remaining debt which has remained uncollectable through a collection agency will be added to Your indebtedness.

D. Advertising Guidelines

You shall only use advertising or marketing material that has been created and approved in advance by the Society. Advertising includes any material which is designed to create public interest in Royal Neighbors of America, its products or agents. This includes, but is not limited to, consumer material designed to induce the public to purchase, increase, modify, retain, renew, or reinstate a certificate, as well as agent recruiting and training materials. The use of advertising or marketing materials that have not been created and approved by the Society will result in immediate "for cause" termination.

For advertisements on social media, please refer to The Society's "Social Media" policy.

E. Term and Termination

This contract is valid for one year after the effective date, and will automatically renew for one year periods following its expiration date. If this contract is terminated "without cause", any first year commissions, renewal commissions or override payments earned by You shall be fully vested and payable until such commission amounts are less than \$600 in any one calendar year at which point all payment due You from the Society will terminate. Servicing fees due in the eleventh (11th) and subsequent certificate years are not vested.

1. Termination "Without Cause"

- (a) At any time, either You or the Society may terminate this contract by giving fifteen (15) days written notice, sent to the last known address of the other.
- (b) If You are a partnership, this contract shall immediately terminate upon the death of any partner, unless the surviving partners shall elect by written notice to the Society, within thirty (30) days of the death of the partner, to continue this contract in force and in effect.
- (c) If You are a partnership, this contract shall immediately terminate upon the dissolution of the partnership.
- (d) If You are a corporation, this contract shall immediately terminate upon Your sale, bankruptcy or insolvency.

2. Termination "With Cause"

Without notice, this contract shall immediately terminate "with cause" if You,

- (a) commit a fraudulent, illegal or dishonest act, which adversely affects the Society, including but not limited to any misrepresentation as to the terms or provisions of an authorized certificate; any alteration, falsification or withholding of information, whether written or oral, about an applicant or prospective insured; any alteration of any application materials; withholding of any required underwriting material;
- (b) violate any insurance law, regulation, or rules of any jurisdiction in which You transact business.
- (c) Personally engage in or cause or permit agents under your control to engage in a pattern or practice of replacing, twisting or rewriting of the Society's life certificates. Any dispute regarding this matter that cannot be resolved by the parties to this agreement will be submitted to arbitration pursuant to paragraph F. 1. of this Agreement; or
- (d) Engage in the act of giving anything of value to an applicant in exchange for the purchase of a life insurance policy or annuity (rebating).

If this contract is terminated "with cause", You shall forfeit to the Society all right, title and interest in any compensation under this contract. Forfeiture under this paragraph shall not constitute an election by the Society to forego any and all other claims or remedies it may have against You.

F. Miscellaneous Provisions

1. Arbitration / Governing Law

Any dispute arising between You and the Society shall be governed by and construed and enforced pursuant to the laws of the state of Illinois. In consideration of the execution of this contract, You agree that any dispute arising between You and the Society regarding the terms, the applicability or the enforcement of this contract, which cannot be resolved amicably, shall be first submitted to the American Arbitration Association for binding resolution. The rules of the American Arbitration Association shall govern any dispute under this paragraph. The prevailing party shall be entitled to recovery of reasonable attorney's fees and costs including the cost of

the mediation and/or arbitration. The arbitrator shall determine the prevailing parties, the costs and the amount of the attorneys' fees.

2. Supersede & Waiver

This contract supersedes and replaces any contract or agreement previously entered into between You and the Society on behalf of the Society with respect to any future transactions. However, any rights You and the Society have under any previous contract are otherwise unaffected except as expressly provided in this contract. The Society's failure to enforce any provision of this contract shall not constitute a waiver of any other provision of this contract.

3. Assignment & Modification

No assignment of this contract or any compensation due shall be valid unless in writing and approved, in advance, by the Society. No modification of this contract shall be binding on the Society unless in writing and signed and approved by an authorized officer of the Society.

4. Savings Clause

If any provision of this contract shall be contrary to the laws of the particular state, county, or jurisdiction where used, such contrary provision shall not entirely invalidate this contract, and this contract shall be construed as not containing the particular provision held to be invalid in such state, county, or jurisdiction and the rights and obligations of You and the Society shall be construed and enforced in such a manner as nearly as possible to effect the intent and purposes of the contract.

5. Entire Contract

This contract and all addendums attached, which have been approved by the Society, contain the entire agreement between You and the Society. This contract shall become effective only when first executed by You and thereafter accepted by the Society.

6. Copies & Electronic Retention of this Contract

You agree that the Society may retain this contract solely as an imaged or electronic version and may destroy any original signed version of this contract; provided the imaged or electronic version accurately represents this contract including the parties' signatures. You and the Society agree that a facsimile or other electronic reproduction of this contract shall be deemed as valid as the original.

7. Privacy Act Notice

By your signature below You acknowledge you have received a copy of the Privacy Notice, attached to and made a part of this contract. You acknowledge and agree You are acting as a third party service provider to the Society, as contemplated under §503 of the Gramm-Leach-Bliley Privacy Act, as amended from time to time, and are therefore bound by the stated policy of the Society regarding the release of nonpublic information derived by, or for, the Society in Its normal course and conduct of business.

8. Notice

You agree that any notice due You from the Society may be delivered by either regular or certified mail or by emailing You at email addressed provide to the Society by You on the Producer Application or that is subsequently supplied by You to the Society.

This contract becomes effective on the date it is accepted by the Society.

By: _____ Executed this _____ day of _____,
Your Signature
(if Corporation, authorized officer)

Accepted this _____ day of _____,

By: _____
Signature for Royal Neighbors of America

Printed name

Royal Neighbors of America
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